

Samsung Electronics (005930.KS)

Better-than-expected 2Q26 core OP (excluding special bonus provisioning) led by stronger DRAM profit more than offsetting weaker smartphones; Buy

005930.KS	12m Price Target: W480,000	Price: W296,000	Upside: 62.2%
005935.KS	12m Price Target: W360,000	Price: W199,300	Upside: 80.6%

2Q26 core OP beat led by stronger-than-expected DRAM more than offsetting weaker smartphones

Samsung Electronics (SEC) released its 2Q26 pre-earnings guidance before the market open on July 7, where OP of W89.4tn was inline with GSe of W90.8tn but higher compared to Bloomberg consensus estimate of W85.9tn. As we believe the company provisioned special bonus for the semiconductor division employees of over W15tn during the quarter, we estimate the core OP would have been well over W100tn and thus a solid beat compared to both GSe and consensus estimate. While the company will likely provide more details during the earnings call on July 30, we believe the beat mainly came from better-than-expected DRAM profit more than offsetting weaker-than-expected smartphones.

Despite what we believe as a solid beat on its core OP, the share price corrected 7% today. We however believe the solid fundamentals of the company led by its memory business remains intact, supported by our expectation of a continued tightness in memory S/D and the long-term agreements (LTA) with customers that would help memory pricing and margin remain at an elevated level. Adding the significant volume and pricing growth in its HBM business that we expect, we believe the resulting FCF generation could lead to a material upside to the company's shareholder return as well. Shares trading at 5.3X P/E and 2.1X P/B on a 12m fwd basis also offer attractive valuation in our view, and we reiterate our Buy rating with an unchanged 12m TP of W480,000, implying 62% upside.

Quick take on major segments

Given we estimate a provisioning of over W15tn in the semiconductor business, the core business profit for **DRAM** and

BUY

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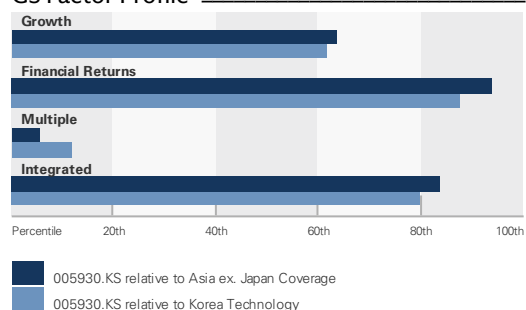
Key Data

Market cap: W1,972.6tr / \$1.3tr
Enterprise value: W1,771.8tr / \$1.2tr
3m ADTV: W8.9tr / \$5.9bn
South Korea
Korea Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (W bn) New	333,605.9	712,028.4	918,598.3	1,045,669.6
Revenue (W bn) Old	333,605.9	718,147.0	897,447.3	1,015,248.8
EBITDA (W bn)	90,527.6	427,940.7	615,418.6	715,753.4
EPS (W) New	6,627	44,896	66,113	77,439
EPS (W) Old	6,627	44,788	63,751	74,186
P/E (X)	10.8	6.6	4.5	3.8
P/B (X)	1.1	2.7	1.8	1.3
Dividend yield (%)	2.3	3.8	3.8	3.8
CROCI (%)	13.1	40.5	42.5	37.9
	6/26	9/26E	12/26E	3/27E
EPS (W)	10,631	12,959	14,203	14,808

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Samsung Electronics (005930.KS)

Rating since Jul 14, 2017

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	10.8	6.6	4.5	3.8
P/B (X)	1.1	2.7	1.8	1.3
FCF yield (%)	7.7	7.6	15.6	18.5
EV/EBITDAR (X)	4.2	3.9	2.4	1.7
EV/EBITDA (excl. leases) (X)	4.2	3.9	2.4	1.7
CROCI (%)	13.1	40.5	42.5	37.9
ROE (%)	10.9	52.1	48.9	39.7
Net debt/equity (%)	(21.8)	(29.6)	(38.6)	(44.7)
Net debt/equity (excl. leases) (%)	(23.1)	(30.4)	(39.3)	(45.2)
Interest cover (X)	117.6	398.5	599.7	730.2
Days inventory outst, sales	57.1	33.2	33.9	34.6
Receivable days	51.8	49.3	64.9	70.2
Days payable outstanding	22.9	21.3	21.5	21.5
DuPont ROE (%)	10.1	40.8	40.2	33.7
Turnover (X)	0.6	0.8	0.7	0.6
Leverage (X)	1.3	1.2	1.1	1.1
Gross cash invested (ex cash) (W)	713,970.7	922,541.1	1,126,094.7	1,359,467.0
Average capital employed (W)	322,322.7	419,872.3	580,316.5	742,503.9
BVPS (W)	63,979	108,118	162,308	227,745

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	10.9	113.4	29.0	13.8
EBITDA growth	20.1	372.7	43.8	16.3
EPS growth	33.8	577.5	47.3	17.1
DPS growth	15.4	576.7	0.0	0.0
EBIT margin	13.1	52.6	60.0	61.0
EBITDA margin	27.1	60.1	67.0	68.4
Net income margin	13.3	41.5	47.3	48.7

Price Performance

005930.KS (W)

KOSPI



	3m	6m	12m
Absolute	50.6%	109.9%	379.7%
Rel. to the KOSPI	8.1%	24.8%	91.7%

Source: FactSet. Price as of 7 Jul 2026 close.

Income Statement (W bn)

	12/25	12/26E	12/27E	12/28E
Total revenue	333,605.9	712,028.4	918,598.3	1,045,669.6
Cost of goods sold	(202,235.5)	(247,803.6)	(293,951.4)	(343,579.2)
SG&A	(50,029.0)	(41,737.7)	(18,430.9)	(1,400.8)
R&D	(37,740.4)	(47,736.0)	(55,115.9)	(62,740.2)
Other operating inc./exp.)	—	—	—	—
EBITDA	90,527.6	427,940.7	615,418.6	715,753.4
Depreciation & amortization	(46,926.6)	(53,189.6)	(64,318.6)	(77,804.0)
EBIT	43,601.1	374,751.1	551,100.0	637,949.4
Net interest inc./exp.)	3,987.3	5,767.4	12,817.6	22,699.0
Income/(loss) from associates	682.7	844.8	800.0	800.0
Pre-tax profit	49,481.5	382,453.6	565,637.6	662,368.4
Provision for taxes	(4,274.7)	(86,037.0)	(130,096.7)	(152,344.7)
Minority interest	(945.8)	(694.1)	(760.0)	(760.0)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	44,261.0	295,722.6	434,781.0	509,263.7
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	44,261.0	295,722.6	434,781.0	509,263.7
EPS (basic, pre-exception) (W)	6,627	44,896	66,113	77,439
EPS (diluted, pre-exception) (W)	6,676	44,896	66,113	77,439
EPS (basic, post-exception) (W)	6,627	44,896	66,113	77,439
EPS (diluted, post-exception) (W)	6,627	44,896	66,113	77,439
DPS (W)	1,668	11,288	11,288	11,288
Div. payout ratio (%)	25.2	25.1	17.1	14.6

Balance Sheet (W bn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	125,821.4	248,353.5	452,646.6	711,763.9
Accounts receivable	51,127.6	141,079.1	185,357.0	216,890.8
Inventory	52,636.8	77,012.6	93,654.1	104,830.5
Other current assets	18,098.7	37,116.1	76,964.0	159,592.5
Total current assets	247,684.6	503,561.2	808,621.6	1,193,077.8
Net PP&E	215,304.8	245,813.9	282,669.1	311,562.8
Net intangibles	29,480.6	30,707.7	32,087.7	33,401.7
Total investments	28,111.0	30,540.9	33,340.9	36,140.9
Other long-term assets	46,361.2	59,858.3	72,758.1	88,437.9
Total assets	566,942.1	870,482.0	1,229,477.5	1,662,621.1
Accounts payable	13,039.4	15,933.6	18,730.8	21,689.1
Short-term debt	18,752.5	20,587.5	20,387.5	20,187.5
Short-term lease liabilities	1,341.8	1,531.9	1,761.6	1,941.7
Other current liabilities	73,277.7	82,513.4	82,283.7	82,103.7
Total current liabilities	106,411.3	120,566.4	123,163.6	125,921.9
Long-term debt	6,486.7	7,386.3	7,366.3	7,346.3
Long-term lease liabilities	4,107.9	4,690.0	5,393.2	5,944.4
Other long-term liabilities	13,615.9	13,453.2	12,035.1	10,797.1
Total long-term liabilities	24,210.4	25,529.5	24,794.6	24,087.8
Total liabilities	130,621.8	146,095.9	147,958.2	150,009.7
Preferred shares	119.5	119.5	119.5	119.5
Total common equity	424,193.8	711,025.5	1,067,398.7	1,497,730.7
Minority interest	12,007.1	13,241.2	14,001.2	14,761.2
Total liabilities & equity	566,942.1	870,482.0	1,229,477.5	1,662,621.1
Net debt, adjusted	(100,462.8)	(220,260.2)	(424,773.3)	(684,110.7)

Cash Flow (W bn)

	12/25	12/26E	12/27E	12/28E
Net income	44,261.0	295,722.6	434,781.0	509,263.7
D&A add-back	46,926.6	53,189.6	64,318.6	77,804.0
Minority interest add-back	945.8	694.1	760.0	760.0
Net (inc)/dec working capital	(7,717.3)	(111,432.9)	(58,122.2)	(39,752.0)
Other operating cash flow	899.1	(13,908.4)	(54,262.6)	(99,795.1)
Cash flow from operations	85,315.1	224,265.0	387,474.7	448,280.6
Capital expenditures	(47,522.2)	(80,127.0)	(93,000.0)	(98,000.0)
Acquisitions	(2,713.4)	(3,000.0)	(4,000.0)	(4,000.0)
Divestitures	—	—	—	—
Others	(18,276.6)	(12,537.0)	(11,727.7)	(12,709.3)
Cash flow from investing	(68,512.2)	(95,664.0)	(108,727.7)	(114,709.3)
Repayment of lease liabilities	(1,211.2)	(1,347.9)	(1,572.0)	(1,753.6)
Dividends paid (common & pref)	(9,808.7)	(12,372.8)	(74,233.9)	(74,233.9)
Inc/(dec) in debt	5,909.0	2,734.7	(220.0)	(220.0)
Other financing cash flows	1,514.5	4,917.0	1,572.0	1,753.6
Cash flow from financing	(3,596.5)	(6,068.9)	(74,453.9)	(74,453.9)
Total cash flow	13,206.5	122,532.1	204,293.1	259,117.4
Free cash flow	36,581.7	142,790.1	292,902.7	348,527.0

Source: Company data, Goldman Sachs Research estimates.

NAND would have likely both exceeded expectations. We especially think the company's HBM business fared better than expectations on the back of the smooth ramp up of HBM4, the company also recently being the first in the world to surpass US\$1bn in HBM4 revenue. Given the significant gap between conventional DRAM pricing and HBM pricing that we expect by the end of this year, we have meaningfully raised our 2027E HBM pricing estimates, and now expect close to a 90% yoy growth in HBM pricing next year.

Based on our updated 2Q26 pricing estimates (conventional DRAM: +47% qoq, NAND pricing: +66% qoq) ([Exhibit 3](#), [Exhibit 4](#)), we believe DRAM and NAND OPM has reached 80% and 64% level, respectively. We expect this strong earnings power led by memory to continue, supported by our expectation of a continued tightness in memory S/D and the long-term agreements (LTA) with customers that would help memory pricing and margin remain at an elevated level.

For **foundry/LSI**, we believe operating loss was better than feared due to the solid utilization rate especially in the advanced node helped by the Exynos chips for the Galaxy S26 and 4nm base die production for HBM4; however, due to the provisioning we believe the actual loss was larger than expected.

For **smartphones**, we estimate the business saw an operating loss for the first time ever, as increasing memory cost likely materially impacted the business margin. Given our expectation of a continued memory price increase throughout the year, we also expect smartphone margins to continue to deteriorate during the same time period.

Key points to watch on the 2Q26 earnings call

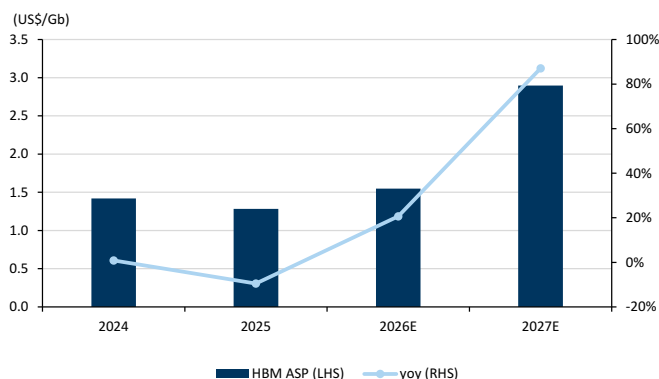
We believe the key points to watch for on SEC's 2Q26 earnings call will include: **1)** disclosures on LTAs with customers including number of LTAs signed, duration of contracts, pricing structures, prepayment portion, etc., **2)** detail of the recent long-term capex announcement and implication on medium-term capacity/supply, **3)** HBM4 progress and HBM guidance update, **4)** company's view on the memory cycle and S/D outlook, **5)** view on demand destruction due to the rising memory pricing and the potential impact to its smartphone business, **6)** foundry utilization rate and potential new customer wins, and **7)** updates on capital allocation (shareholder return, M&A).

Raise earnings estimates, maintain TP of W480K and reiterate Buy

Mainly reflecting 2Q26 pre-earnings guidance, higher DRAM profit estimates, and higher USDKRW assumptions more than offsetting lower smartphone profit estimates, we raise our 2026E/2027E/2028E EPS estimates by 0.2%/3.7%/4.4%. Our SOTP-based 12m TP remains at W480,000, and we remain Buy-rated on the name.

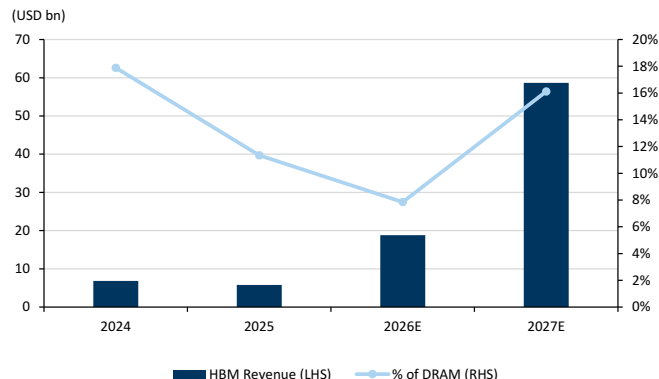
We also maintain our 12m TP for the preference shares (005935.KS, Buy) of W360,000, applying our target pref to common discount of 25%, derived from averaging: 1) the pref discount of the 2-factor model, and 2) the average preference shares discount to common shares during the past 1 month. Key risks include 1) major deterioration in memory supply/demand, 2) sharp contraction in smartphone margins, and 3) mobile OLED market share loss.

Exhibit 1: SEC HBM ASP and yoy growth



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: SEC HBM revenue and % of DRAM revenue



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: SEC DRAM key assumptions

DRAM: Key assumptions	1Q26	2Q26P	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
ASP (US\$, 1Gb equiv.)	1.1	1.7	1.9	2.0	2.2	2.3	2.3	2.2	0.4	1.7	2.3	2.3
Sequential change (%)	93%	46%	15%	7%	9%	3%	1%	-4%	22%	288%	34%	2%
Shipment (mn, 1Gb equiv.)	32,750	35,206	35,946	36,664	35,455	37,936	41,654	44,570	116,450	140,566	159,615	193,911
Sequential change (%)	2%	8%	2%	2%	-3%	7%	10%	7%	9%	21%	14%	21%
Wafer capacity (WPM, 12-inch equiv.)	680	700	750	770	790	800	790	810	655	725	798	868
Sequential change (%)	5%	3%	7%	3%	3%	1%	-1%	3%	6%	11%	10%	9%
Sales (W tn)	54.9	88.0	100.4	108.1	108.8	119.9	133.2	136.9	72.7	351.4	498.8	607.0
Sequential change (%)	100%	60%	14%	8%	1%	10%	11%	3%	39%	383%	42%	22%
Operating profit (W tn)	43.0	70.0	82.0	89.0	90.4	99.9	110.1	112.0	29.3	284.0	412.4	494.3
Sequential change (%)	181%	63%	17%	9%	2%	10%	10%	2%	81%	869%	45%	20%
OP Margin (%)	78%	80%	82%	82%	83%	83%	83%	82%	40%	81%	83%	81%

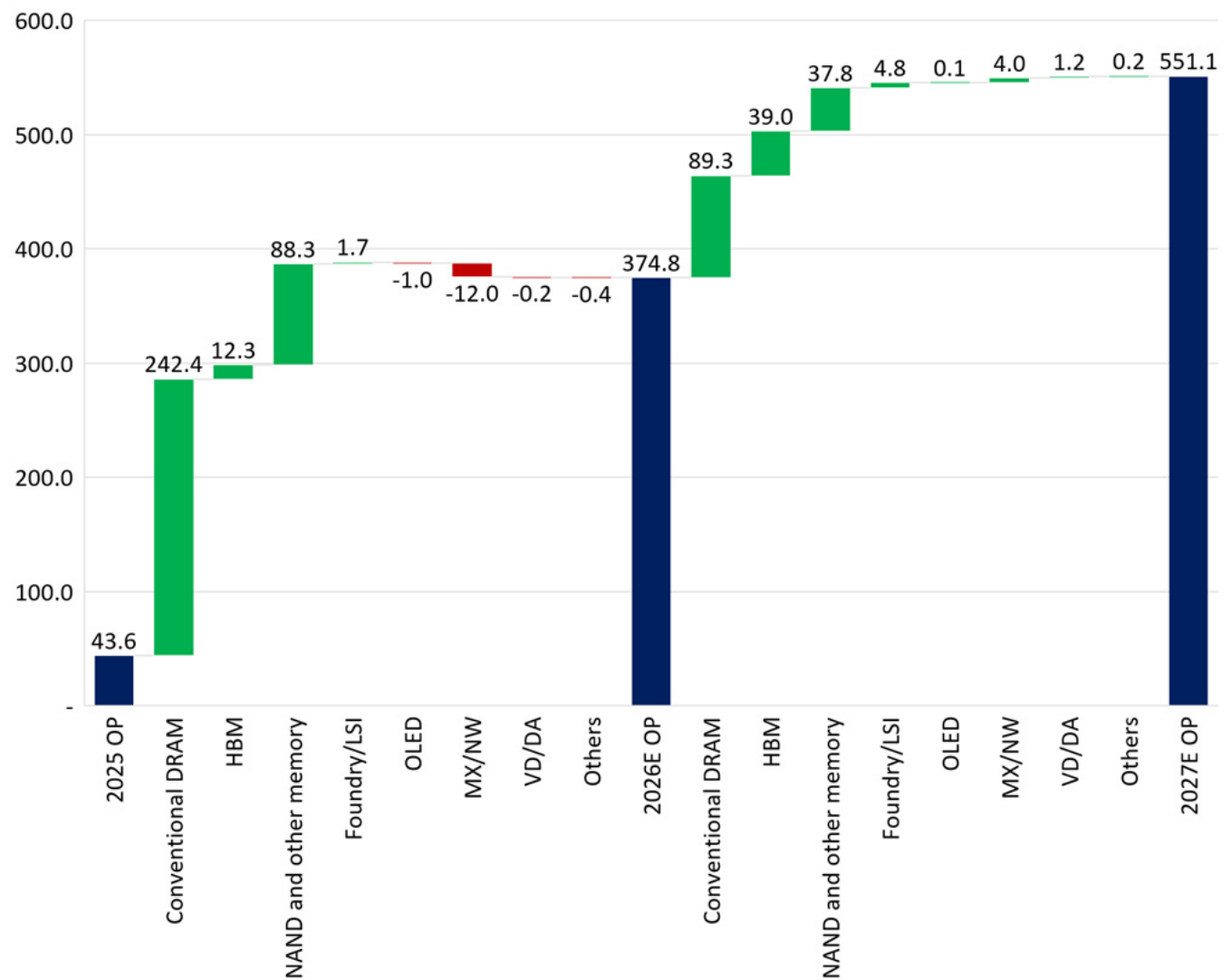
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: SEC NAND key assumptions

NAND: Key assumptions	1Q26	2Q26P	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
ASP (US\$, 16Gb equiv.)	0.3	0.5	0.6	0.7	0.7	0.7	0.7	0.6	0.1	0.5	0.7	0.6
Sequential change (%)	89%	66%	20%	12%	5%	2%	-5%	-7%	-8%	284%	32%	-10%
Shipment (mn, 16Gb equiv.)	46,200	47,124	47,595	46,643	47,110	49,936	54,431	57,696	168,000	187,563	209,173	246,102
Sequential change (%)	8%	2%	1%	-2%	1%	6%	9%	6%	3%	12%	12%	18%
Wafer capacity (WPM, 12-inch equiv.)	405	400	400	400	400	390	370	350	435	401	378	380
Sequential change (%)	-1%	-1%	0%	0%	0%	-3%	-5%	-5%	-10%	-8%	-6%	1%
Sales (W tn)	19.8	34.3	40.5	43.8	44.2	47.8	49.5	48.8	31.3	138.4	190.3	199.6
Sequential change (%)	106%	73%	18%	8%	1%	8%	4%	-1%	-1%	342%	37%	5%
Operating profit (W tn)	11.5	21.9	27.2	30.4	31.3	33.3	33.0	31.0	2.7	90.9	128.7	129.1
Sequential change (%)	384%	90%	24%	12%	3%	7%	-1%	-6%	-33%	3310%	42%	0%
OP Margin (%)	58%	64%	67%	69%	71%	70%	67%	64%	9%	66%	68%	65%

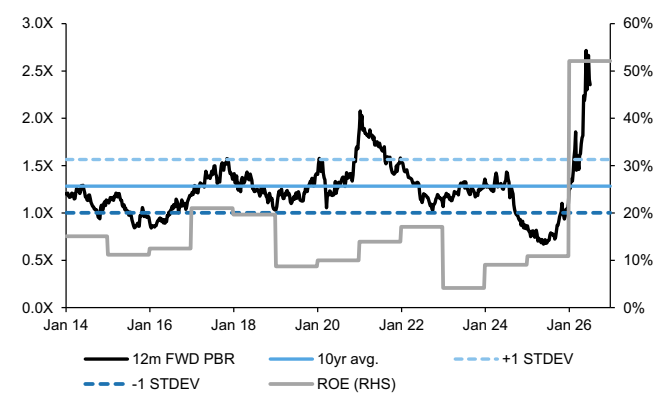
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: SEC OP waterfall chart



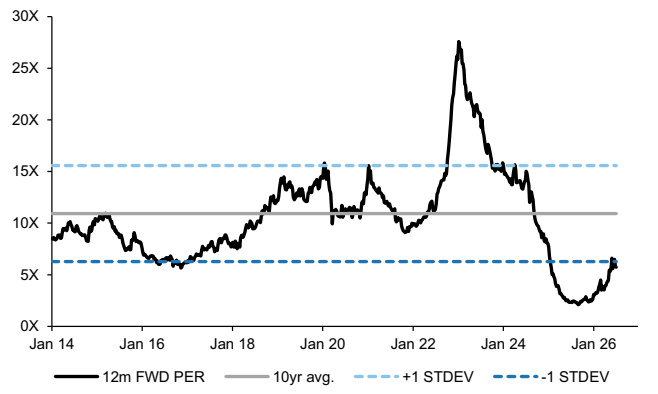
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: SEC shares are trading at 2.2X 12m FWD P/B with a 2026E/2027E ROE of 52%/49%
SEC 12m FWD P/B vs. ROE



Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 7: SEC shares are currently trading at 5.3X 12m FWD P/E
SEC 12m FWD P/E



Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 8: SEC earnings revisions

(W tn)	Revised				Previous				% -change			
	2Q26P	FY26E	FY27E	FY28E	2Q26E	FY26E	FY27E	FY28E	2Q26P	FY26E	FY27E	FY28E
Sales	171.00	712.03	918.60	1,045.7	176.78	718.15	897.45	1,015.2	-3.3%	-0.9%	2.4%	3.0%
DS (Semiconductor)	129.64	519.75	720.58	840.52	124.43	508.57	692.61	803.49	4.2%	2.2%	4.0%	4.6%
Semiconductor	129.63	519.72	720.54	840.48	124.42	508.54	692.57	803.45	4.2%	2.2%	4.0%	4.6%
Memory	122.40	490.22	689.53	807.05	117.30	479.36	661.71	770.28	4.3%	2.3%	4.2%	4.8%
DRAM	87.96	351.38	498.81	606.99	84.33	343.80	472.43	571.72	4.3%	2.2%	5.6%	6.2%
NAND	34.34	138.42	190.27	199.58	32.86	135.16	188.83	198.07	4.5%	2.4%	0.8%	0.8%
System LSI / Foundry	7.23	29.50	31.02	33.43	7.11	29.18	30.85	33.17	1.6%	1.1%	0.5%	0.8%
SDC (Display Panel)	7.55	31.63	29.73	29.34	7.34	31.18	29.73	29.34	2.8%	1.4%	0.0%	0.0%
AM OLED	7.55	31.63	29.73	29.34	7.34	31.18	29.73	29.34	2.8%	1.4%	0.0%	0.0%
DX	46.28	185.63	174.83	179.66	46.73	189.26	181.50	186.11	-1.0%	-1.9%	-3.7%	-3.5%
MX/NW (Mobile, Networks)	31.62	128.05	117.96	121.77	31.91	131.14	124.60	128.30	-0.9%	-2.4%	-5.3%	-5.1%
Mobile	31.03	125.49	114.86	118.55	31.25	128.34	121.12	124.70	-0.7%	-2.2%	-5.2%	-4.9%
Handset	24.60	99.31	89.34	92.76	24.64	101.44	94.15	97.45	-0.2%	-2.1%	-5.1%	-4.8%
PC	4.56	18.39	18.08	18.07	4.71	18.98	19.21	19.20	-3.2%	-3.1%	-5.9%	-5.9%
Tablet	1.87	7.80	7.44	7.71	1.90	7.93	7.76	8.04	-1.4%	-1.7%	-4.1%	-4.1%
Equipment and others	0.59	2.55	3.10	3.22	0.66	2.79	3.48	3.61	-10.9%	-8.6%	-10.9%	-10.9%
VD/DA (Visual Display, Appliances)	14.66	57.59	56.87	57.90	14.82	58.12	56.90	57.81	-1.0%	-0.9%	0.0%	0.2%
Visual Display	7.60	30.98	30.04	30.86	7.63	31.21	30.05	30.82	-0.3%	-0.7%	0.0%	0.1%
Appliances and others	7.06	26.61	26.83	27.04	7.19	26.91	26.85	26.99	-1.8%	-1.1%	-0.1%	0.2%
Harman	4.23	17.45	17.45	18.14	4.28	17.37	17.61	18.31	-1.2%	0.5%	-0.9%	-0.9%
Operating profit	89.40	374.75	551.10	637.95	90.80	373.80	530.34	609.59	-1.5%	0.3%	3.9%	4.7%
DS (Semiconductor)	88.87	369.61	540.54	625.31	89.67	366.51	519.18	596.48	-0.9%	0.8%	4.1%	4.8%
Semiconductor	88.86	369.58	540.50	625.27	89.66	366.48	519.14	596.44	-0.9%	0.8%	4.1%	4.8%
Memory	91.83	374.92	541.07	623.39	90.58	369.65	519.67	594.53	1.4%	1.4%	4.1%	4.9%
DRAM	69.96	283.98	412.35	494.32	68.72	279.17	392.16	466.60	1.8%	1.7%	5.1%	5.9%
NAND	21.86	90.94	128.71	129.06	21.86	90.47	127.50	127.92	0.0%	0.5%	0.9%	0.9%
System LSI / Foundry	(2.97)	(5.35)	(0.57)	1.88	(0.92)	(3.17)	(0.53)	1.91	n.m.	n.m.	n.m.	-1.6%
SDC (Display Panel)	0.60	3.20	3.30	3.45	0.43	3.10	3.23	3.39	38.9%	3.2%	2.2%	1.6%
AM OLED	0.60	3.20	3.30	3.45	0.43	3.10	3.23	3.39	38.9%	3.2%	2.2%	1.6%
DX	(0.45)	0.55	5.71	7.65	0.31	2.80	6.36	8.16	n.m.	-80.5%	-10.3%	-6.2%
MX/NW (Mobile, Networks)	(0.32)	0.89	4.88	6.69	0.38	3.09	5.50	7.17	n.m.	-71.1%	-11.2%	-6.6%
Mobile	(0.38)	0.64	4.53	6.31	0.30	2.79	5.09	6.74	n.m.	-77.1%	-11.0%	-6.3%
Handset	(0.48)	0.18	4.01	5.65	0.17	2.26	4.47	5.96	n.m.	-92.2%	-10.3%	-5.2%
PC	0.01	0.07	0.13	0.14	0.02	0.08	0.13	0.15	-41.9%	-13.1%	-5.9%	-5.9%
Tablet	0.09	0.39	0.39	0.52	0.11	0.45	0.48	0.62	-13.5%	-12.9%	-19.6%	-16.5%
Equipment and others	0.06	0.26	0.35	0.38	0.07	0.30	0.41	0.43	-19.0%	-15.4%	-13.8%	-12.7%
VD/DA (Visual Display, Appliances)	(0.13)	(0.35)	0.83	0.96	(0.07)	(0.29)	0.87	0.99	n.m.	n.m.	-4.3%	-3.0%
Visual Display	0.08	0.46	0.64	0.66	0.12	0.50	0.67	0.69	-32.4%	-7.4%	-5.5%	-4.3%
Appliances and others	(0.21)	(0.81)	0.19	0.30	(0.19)	(0.79)	0.19	0.30	n.m.	n.m.	-0.2%	0.2%
Harman	0.41	1.58	1.73	1.82	0.41	1.57	1.75	1.84	-1.4%	0.6%	-1.0%	-1.1%
OP Margin (%)	52.3%	52.6%	60.0%	61.0%	51.4%	52.1%	59.1%	60.0%				
DS (Semiconductor)	68.5%	71.1%	75.0%	74.4%	72.1%	72.1%	75.0%	74.2%				
Semiconductor	68.5%	71.1%	75.0%	74.4%	72.1%	72.1%	75.0%	74.2%				
Memory	75.0%	76.5%	78.5%	77.2%	77.2%	77.1%	78.5%	77.2%				
DRAM	79.5%	80.8%	82.7%	81.4%	81.5%	81.2%	83.0%	81.6%				
NAND	63.7%	65.7%	67.6%	64.7%	66.5%	66.9%	67.5%	64.6%				
System LSI / Foundry	-41.1%	-18.1%	-1.8%	5.6%	-13.0%	-10.9%	-1.7%	5.8%				
SDC (Display Panel)	8.0%	10.1%	11.1%	11.8%	5.9%	9.9%	10.8%	11.6%				
AM OLED	8.0%	10.1%	11.1%	11.8%	5.9%	9.9%	10.8%	11.6%				
DX	-1.0%	0.3%	3.3%	4.3%	0.7%	1.5%	3.5%	4.4%				
MX/NW (Mobile, Networks)	-1.0%	0.7%	4.1%	5.5%	1.2%	2.4%	4.4%	5.6%				
Mobile	-1.2%	0.5%	3.9%	5.3%	1.0%	2.2%	4.2%	5.4%				
Handset	-2.0%	0.2%	4.5%	6.1%	0.7%	2.2%	4.8%	6.1%				
PC	0.3%	0.4%	0.7%	0.8%	0.5%	0.4%	0.7%	0.8%				
Tablet	5.0%	5.0%	5.2%	6.7%	5.7%	5.7%	6.2%	7.7%				
Equipment and others	10.0%	10.1%	11.4%	11.8%	11.0%	10.9%	11.8%	12.0%				
VD/DA (Visual Display, Appliances)	-0.9%	-0.6%	1.5%	1.7%	-0.4%	-0.5%	1.5%	1.7%				
Visual Display	1.1%	1.5%	2.1%	2.2%	1.6%	1.6%	2.2%	2.3%				
Appliances and others	-3.0%	-3.0%	0.7%	1.1%	-2.6%	-2.9%	0.7%	1.1%				
Harman	9.7%	9.0%	9.9%	10.0%	9.7%	9.0%	9.9%	10.0%				
Pre-tax profit	91.14	382.45	565.64	662.37	92.54	381.53	545.47	634.59	-1.5%	0.2%	3.7%	4.4%
Net profit	69.99	295.72	434.78	509.26	71.07	295.01	419.25	487.87	-1.5%	0.2%	3.7%	4.4%
EPS (W)	10,631	44,896	66,113	77,439	10,794	44,788	63,751	74,186	-1.5%	0.2%	3.7%	4.4%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 9: SEC earnings summary

	1Q26	2Q26P	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Sales (W tn)	133.87	171.00	199.68	207.47	211.08	221.35	242.28	243.89	333.61	712.03	918.60	1,045.67
DS (Semiconductor)	81.70	129.64	148.62	159.79	160.59	175.47	190.75	193.76	130.11	519.75	720.58	840.52
Semiconductor	81.70	129.63	148.61	159.78	160.58	175.46	190.74	193.75	130.11	519.72	720.54	840.48
Memory	74.80	122.40	141.00	152.02	153.11	167.81	182.84	185.76	104.14	490.22	689.53	807.05
DRAM	54.90	87.96	100.42	108.10	108.80	119.91	133.24	136.86	72.72	351.38	498.81	606.99
NAND	19.80	34.34	40.47	43.81	44.20	47.79	49.49	48.79	31.29	138.42	190.27	199.58
System LSI / Foundry	6.90	7.23	7.61	7.76	7.47	7.65	7.90	7.99	25.97	29.50	31.02	33.43
SDC (Display Panel)	6.70	7.55	8.40	8.98	6.60	6.43	8.09	8.61	29.84	31.63	29.73	29.34
AM-OLED	6.70	7.55	8.40	8.98	6.60	6.43	8.09	8.61	29.84	31.63	29.73	29.34
DX	52.40	46.28	46.17	40.78	46.64	41.44	44.68	42.08	186.83	185.63	174.83	179.66
MX/NW (Mobile, Networks)	38.10	31.62	31.89	26.44	33.03	27.37	30.44	27.12	129.55	128.05	117.96	121.77
Mobile	37.50	31.03	31.25	25.71	32.27	26.56	29.67	26.35	126.45	125.49	114.86	118.55
Handset	30.77	24.60	24.82	19.12	26.01	20.35	23.29	19.69	98.11	99.31	89.34	92.76
PC	4.68	4.56	4.61	4.54	4.45	4.45	4.59	4.59	20.01	18.39	18.08	18.07
Tablet	2.05	1.87	1.82	2.05	1.81	1.76	1.79	2.08	8.33	7.80	7.44	7.71
Equipment and others	0.60	0.59	0.64	0.73	0.76	0.81	0.76	0.77	3.10	2.55	3.10	3.22
VD/DA (Visual Display, Appliances)	14.30	14.66	14.29	14.33	13.60	14.08	14.24	14.95	57.28	57.59	56.87	57.90
VD	7.70	7.60	7.65	8.03	6.86	7.06	7.57	8.55	30.90	30.98	30.04	30.86
Appliances and others	6.60	7.06	6.64	6.31	6.75	7.02	6.67	6.40	26.38	26.61	26.83	27.04
Harman	3.80	4.23	4.49	4.93	3.75	4.00	4.76	4.94	15.78	17.45	17.45	18.14
Others	(10.73)	(16.70)	(8.00)	(7.00)	(6.50)	(6.00)	(6.00)	(5.50)	(28.95)	(42.43)	(24.00)	(22.00)
Operating Profit (W tn)	57.23	89.40	108.95	119.17	123.86	134.90	146.19	146.15	43.60	374.75	551.10	637.95
DS (Semiconductor)	53.70	88.87	108.33	118.71	121.21	132.78	143.19	143.36	24.89	369.61	540.54	625.31
Semiconductor	53.70	88.86	108.32	118.70	121.20	132.77	143.18	143.35	24.89	369.58	540.50	625.27
Memory	54.48	91.83	109.20	119.42	121.69	133.20	143.12	143.06	31.98	374.92	541.07	623.39
DRAM	42.95	69.96	82.02	89.04	90.42	99.86	110.07	112.01	29.31	283.98	412.35	494.32
NAND	11.52	21.86	27.17	30.38	31.28	33.34	33.05	31.04	2.67	90.94	128.71	129.06
System LSI / Foundry	(0.78)	(2.97)	(0.88)	(0.72)	(0.49)	(0.43)	0.06	0.30	(7.09)	(5.35)	(0.57)	1.88
SDC (Display Panel)	0.36	0.60	1.03	1.21	0.38	0.47	1.13	1.32	4.16	3.20	3.30	3.45
AM-OLED	0.36	0.60	1.03	1.21	0.38	0.47	1.13	1.32	4.16	3.20	3.30	3.45
DX	2.97	(0.45)	(0.80)	(1.17)	1.92	1.31	1.44	1.04	12.73	0.55	5.71	7.65
MX/NW (Mobile, Networks)	2.81	(0.32)	(0.64)	(0.96)	1.56	1.00	1.31	1.02	12.90	0.89	4.88	6.69
Mobile	2.76	(0.38)	(0.70)	(1.04)	1.48	0.91	1.22	0.93	12.54	0.64	4.53	6.31
Handset	2.55	(0.48)	(0.78)	(1.11)	1.32	0.79	1.09	0.81	11.18	0.18	4.01	5.65
PC	0.04	0.01	0.01	0.00	0.03	0.03	0.03	0.03	0.26	0.07	0.13	0.14
Tablet	0.16	0.09	0.07	0.06	0.13	0.09	0.09	0.08	1.11	0.39	0.39	0.52
Equipment and others	0.05	0.06	0.06	0.08	0.08	0.09	0.09	0.09	0.36	0.26	0.35	0.38
VD/DA (Visual Display, Appliances)	0.16	(0.13)	(0.17)	(0.21)	0.36	0.32	0.13	0.02	(0.17)	(0.35)	0.83	0.96
VD (Visual Display)	0.29	0.08	0.04	0.04	0.29	0.23	0.11	0.01	0.80	0.46	0.64	0.66
Appliances and others	(0.13)	(0.21)	(0.21)	(0.25)	0.07	0.08	0.02	0.01	(0.97)	(0.81)	0.19	0.30
Harman	0.23	0.41	0.45	0.49	0.37	0.38	0.48	0.49	1.53	1.58	1.73	1.82
Others	(0.03)	(0.03)	(0.05)	(0.07)	(0.02)	(0.03)	(0.05)	(0.07)	0.30	(0.18)	(0.17)	(0.28)
OP Margin (%)	43%	52%	55%	57%	59%	61%	60%	60%	13%	53%	60%	61%
DS (Semiconductor)	66%	69%	73%	74%	75%	76%	75%	74%	19%	71%	75%	74%
Semiconductor	66%	69%	73%	74%	75%	76%	75%	74%	19%	71%	75%	74%
Memory	73%	75%	77%	79%	79%	79%	78%	77%	31%	76%	78%	77%
DRAM	78%	80%	82%	82%	83%	83%	83%	82%	40%	81%	83%	81%
NAND	58%	64%	67%	69%	71%	70%	67%	64%	9%	66%	68%	65%
System LSI / Foundry	-11%	-41%	-12%	-9%	-7%	-6%	1%	4%	-27%	-18%	-2%	6%
SDC (Display Panel)	5%	8%	12%	13%	6%	7%	14%	15%	14%	10%	11%	12%
AM-OLED	5%	8%	12%	13%	6%	7%	14%	15%	14%	10%	11%	12%
DX	6%	-1%	-2%	-3%	4%	3%	3%	2%	7%	0%	3%	4%
MX/NW (Mobile, Networks)	7%	-1%	-2%	-4%	5%	4%	4%	4%	10%	1%	4%	5%
Mobile	7%	-1%	-2%	-4%	5%	3%	4%	4%	10%	1%	4%	5%
Handset	8%	-2%	-3%	-6%	5%	4%	5%	4%	11%	0%	4%	6%
PC	1%	0%	0%	0%	1%	1%	1%	1%	1%	0%	1%	1%
Tablet	8%	5%	4%	3%	7%	5%	5%	4%	13%	5%	5%	7%
Equipment and others	9%	10%	10%	11%	11%	11%	12%	12%	11%	10%	11%	12%
VD/DA (Visual Display, Appliances)	1%	-1%	-1%	-1%	3%	2%	1%	0%	0%	-1%	1%	2%
VD (Visual Display)	4%	1%	1%	1%	4%	3%	1%	0%	3%	1%	2%	2%
Appliances and others	-2%	-3%	-3%	-4%	1%	1%	0%	0%	-4%	-3%	1%	1%
Harman	6%	10%	10%	10%	10%	10%	10%	10%	10%	9%	10%	10%
Others	0%	0%	1%	1%	0%	1%	1%	1%	-1%	0%	1%	1%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: SEC major assumptions

	1Q26	2Q26P	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Shipment assumptions												
DS (Semiconductor)												
DRAM (mn chips, 1Gb equiv.)	32,750	35,206	35,946	36,664	35,455	37,936	41,654	44,570	116,450	140,566	159,615	193,911
NAND (mn chips, 16Gb equiv.)	46,200	47,124	47,595	46,643	47,110	49,936	54,431	57,696	168,000	187,563	209,173	246,102
SDC (Display Panel)												
AM-OLED ('000 sqm)	1,100	1,155	1,271	1,339	1,139	1,151	1,310	1,381	5,130	4,865	4,981	4,934
MX/NW (Mobile, Networks)												
Handset (mn)	62	62	60	57	63	58	62	59	250	241	242	248
Featurephone	2	2	2	2	2	2	2	2	9	9	9	8
Smartphone	60	60	58	55	61	56	60	57	240	232	233	240
Tablet (mn)	7	6	6	7	6	6	6	7	27	26	26	27
PC (mn)	2	2	2	2	2	2	2	2	8	6	7	7
VD/DA (Visual Display, Appliances)												
TV (mn)	9	9	9	10	9	8	9	11	36	36	37	39
LCD TV	8	8	8	9	8	7	8	10	34	34	34	36
OLED TV	0.5	0.5	0.6	0.6	0.6	0.6	0.7	0.7	1.9	2.2	2.6	3.0
Sequential shipment change												
DS (Semiconductor)												
DRAM	2%	8%	2%	2%	-3%	7%	10%	7%	9%	21%	14%	21%
NAND	8%	2%	1%	-2%	1%	6%	9%	6%	3%	12%	12%	18%
SDC (Display Panel)												
AM-OLED	-27%	5%	10%	5%	-15%	1%	14%	5%	1%	-5%	2%	-1%
MX/NW (Mobile, Networks)												
Handset	0%	0%	-3%	-6%	10%	-8%	7%	-4%	7%	-3%	0%	3%
Featurephone	-4%	-2%	3%	-2%	-3%	-2%	3%	-2%	0%	-3%	-4%	-4%
Smartphone	0%	0%	-3%	-6%	11%	-8%	7%	-4%	7%	-3%	0%	3%
Tablet	5%	-7%	-2%	14%	-8%	-2%	-1%	16%	-2%	-7%	0%	4%
PC	-11%	-2%	4%	1%	1%	-2%	1%	1%	4%	-17%	2%	3%
VD/DA (Visual Display, Appliances)												
TV	-12%	-3%	2%	12%	-13%	-5%	11%	23%	-3%	1%	2%	5%
LCD TV	-12%	-3%	2%	12%	-14%	-6%	12%	24%	-5%	0%	1%	4%
OLED TV	-13%	4%	5%	5%	3%	3%	4%	4%	32%	18%	16%	17%
ASP assumptions (US\$)												
DS (Semiconductor)												
DRAM (1Gb equiv.)	1.1	1.7	1.9	2.0	2.2	2.3	2.3	2.2	0.4	1.7	2.3	2.3
NAND (16Gb equiv.)	0.3	0.5	0.6	0.7	0.7	0.7	0.7	0.6	0.1	0.5	0.7	0.6
SDC (Display Panel)												
AM-OLED (per sqm)	4,155	4,353	4,527	4,655	4,230	4,079	4,509	4,549	4,091	4,432	4,357	4,405
MX/NW (Mobile, Networks)												
Handset	338	264	282	234	303	257	275	242	277	281	270	277
Featurephone	27	25	25	25	24	24	24	24	25	25	24	23
Smartphone	350	273	292	242	313	266	284	250	286	291	279	286
Tablet	212	203	207	207	210	207	214	214	214	208	211	214
PC	1,995	1,936	1,936	1,916	1,955	1,994	2,033	2,013	1,804	1,945	1,999	1,963
VD/DA (Visual Display, Appliances)												
TV	422	429	421	408	398	423	418	404	440	420	410	401
LCD TV	410	418	409	397	385	412	408	396	428	408	400	393
OLED TV	615	597	585	573	562	551	540	529	654	592	545	502
Sequential ASP change												
DS (Semiconductor)												
DRAM	93%	46%	15%	7%	9%	3%	1%	-4%	22%	288%	34%	2%
NAND	89%	66%	20%	12%	5%	2%	-5%	-7%	-8%	284%	32%	-10%
SDC (Display Panel)												
AM-OLED	-5%	5%	4%	3%	-9%	-4%	11%	1%	-3%	8%	-2%	1%
MX/NW (Mobile, Networks)												
Handset	43%	-22%	7%	-17%	29%	-15%	7%	-12%	-2%	1%	-4%	3%
Featurephone	7%	-5%	-1%	-1%	-1%	-1%	-1%	-1%	5%	2%	-5%	-4%
Smartphone	43%	-22%	7%	-17%	29%	-15%	7%	-12%	-2%	1%	-4%	2%
Tablet	-3%	-4%	2%	0%	1%	-1%	3%	0%	4%	-3%	2%	1%
PC	4%	-3%	0%	-1%	2%	2%	2%	-1%	9%	8%	3%	-2%
VD/DA (Visual Display, Appliances)												
TV	-4%	2%	-2%	-3%	-2%	6%	-1%	-3%	-4%	-5%	-2%	-2%
LCD TV	-4%	2%	-2%	-3%	-3%	7%	-1%	-3%	-4%	-5%	-2%	-2%
OLED TV	-3%	-3%	-2%	-2%	-2%	-2%	-2%	-2%	-12%	-10%	-8%	-8%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - Samsung Electronics

Samsung Electronics (SEC) is one of the largest tech companies in the world, with the #1 market share in several products including memory chips, OLED panels, smartphones, and TVs. We expect the strong earnings power led by memory to continue, supported by our expectation of solid memory pricing continuing and also remaining at an elevated level. We expect this to be helped by the long-term agreements (LTA) with customers, with a higher level of binding commitment likely this time compared to the past. The company is starting to show meaningful progress in HBM, and also considering the higher scope for meaningful shareholder returns, we remain constructive on the name and reiterate our Buy rating.

Price Target Risks and Methodology - Samsung Electronics

Valuation methodology: Our 12m 2026-2027E EV/EBITDA-based SOTP target price for the common share is W480,000. Our 12-month target price for the preference share is W360,000, which is based on our target pref to common shares discount of 25%, derived from averaging: 1) the pref discount of the 2-factor model and 2) the average preference share discount to common shares during the past 1 month. We are Buy rated on both the common and preference shares.

Key downside risks: 1) major deterioration in memory supply/demand, 2) sharp contraction in smartphone margins, and 3) mobile OLED market share loss.

Disclosure Appendix

Reg AC

We, Giuni Lee, Taeyong Lee and Daiki Takayama, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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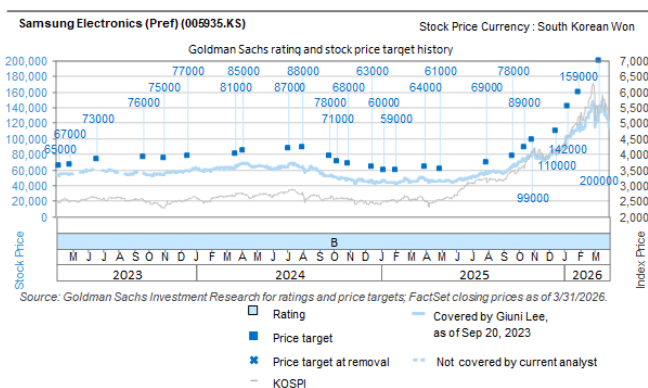
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	Rating Distribution				Investment Banking Relationships		
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Price target and rating history chart(s)



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Samsung Electronics (Pref) (005935.KS)

Samsung Electronics (005930.KS)

Date of report	Target price (W)	Closing price (W)
31-May-26	480,000	317,000
30-Apr-26	320,000	220,500
07-Apr-26	285,000	196,500
11-Mar-26	260,000	190,000
29-Jan-26	205,000	160,700
08-Jan-26	180,000	138,800
16-Dec-25	140,000	102,800
30-Oct-25	123,000	104,100
14-Oct-25	109,000	91,600
22-Sep-25	96,000	83,500
31-Jul-25	84,000	71,400
01-May-25	74,000	55,500
01-Apr-25	77,000	58,800
02-Feb-25	72,000	52,400
08-Jan-25	73,000	57,300
16-Dec-24	75,000	55,600
31-Oct-24	82,000	59,200
08-Oct-24	86,000	60,300
23-Sep-24	95,000	62,600
31-Jul-24	110,000	83,900
05-Jul-24	108,000	87,100
01-Jul-24	105,000	81,800
30-Apr-24	103,000	77,500
05-Apr-24	102,000	84,500
21-Mar-24	97,000	79,300
17-Dec-23	95,000	73,300
20-Sep-23	93,000	69,600

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